HW 7.4

Principles of Microeconomics

October 10, 2025

1.

2. A market is described by the following supply and demand curves:

$$Q_S = -100 + 200P$$
$$Q_D = 600 - 150P$$

   (a) What is the market equilibrium?

   (b) What are consumer surplus, producer surplus, and total surplus at the market equilibrium?

   (c) The government implements a tax of [blank]. What price does the consumer pay; what price does the seller receive, and what quantity is sold after the tax?

   (d) What are consumer surplus, producer surplus, tax revenue, and dead weight loss after the tax?